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Study Notes

Introduction to Management

Management – Introduction

Management, as a concept, is universal in the modern industrial world. It makes human efforts more productive and brings better technology, products and services to our society. It is a very important economic resource and a life-giving element in business ecosystem.

In the absence of proper management, the resources of production (men, machines and materials, money) cannot be converted into production. Thus, management is a vital function concerned with each aspects of the working of an organization.

Management is concerned with both acquisition and application of knowledge. It does not go by rule of thumb or intuition alone even though it is sometimes considered to be an extension of common sense. Hence, management is a combination of both an art and a science.

The scientific approach lies in decision-making, planning and in the appropriate use of technology. Whereas the artistic approach to management can be found in the tasks of communicating, leadership and goal-setting.

Characteristics of Management

Management is a group activity:

Management is a group activity. One can't satisfy its desires by itself. Therefore, he unites fellow- beings and works in an organized group to achieve what he cannot achieve individually.

Management is Goal - oriented:

According to Theo Haiman - "Effective management is always management by objectives."

Group efforts are directed towards the achievements of some predetermined goals.

Management is concerned with establishment and accomplishment of these objectives.

Management is a factor of Production:

Management is not an end in itself. It is a means to achieve the group objectives. It is a factor of production that is required the co-ordinate with the other factors of production for the accomplishment of predetermined goals and objectives.

It is a Universal Character:

Management is essential in almost all types of concerns. Where there is some human activity, management is must there. The basic principles of management are universal. These can be applied in all types of concerns i.e., business, social, religious, cultural, sports, educational.

Management is needed at all levels of the enterprise:

On the basis of the nature of work or target and the scope of authority, management is needed at all levels of the organisations e.g., top level, middle level and supervisor level.

It is a distinct function:

Management is a distinct function performed to fix and achieve stated objectives by the use of manpower and other factors of production. Different from the activities, techniques and procedures, the process of management consists of such functions as planning, organizing, staffing, directing, coordinating, motivating and controlling.

It is a Social Process:

Management is also regarded as a social process. It has a social responsibility to make reasonable use of resources that are scarce keeping in view the benefit of the community as a whole.

System of Authority:

Authority is the power to compel men to work in a specific manner. Management cannot work in the absence of authority. There is a chain of authority and responsibility among people working at different levels of the organization. There cannot be an efficient management without well-defined lines of command and a superior subordinate relationship at every levels of decision making.

Management is Intangible:

It can be seen in the form of results and could not be actually seen. For example, when we are not able to produce desired quantity, we say it is the result of poor management.

It is Art as well as Science:

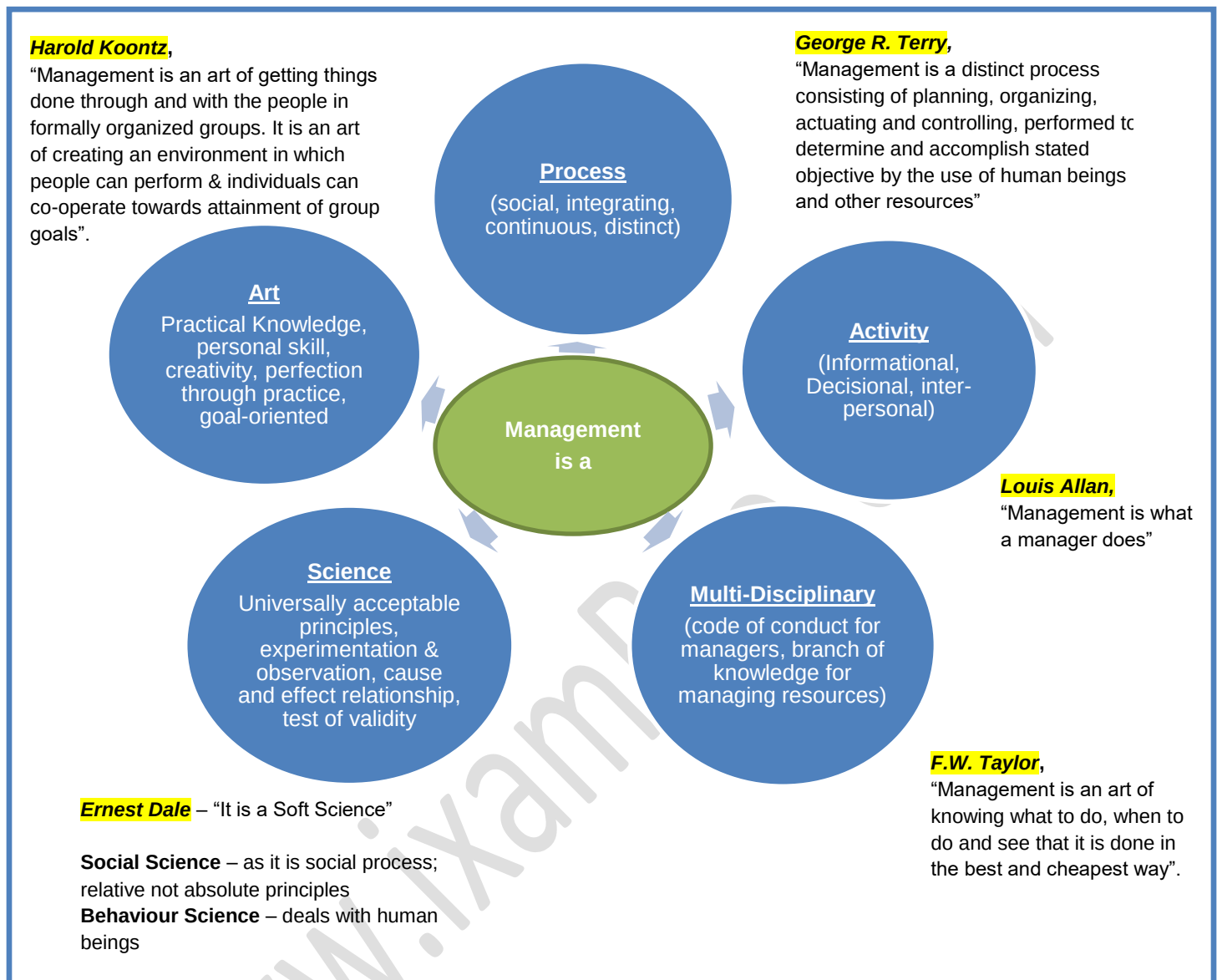
Management is a science since its principles have universal application. Management is an art as the results of management depends upon the personal skill of managers. The art of the manager is essential to make the best use of management science. Thus, management is both science and art.

Significance of Management

Management plays a unique role modern society. **Peter F. Drucker** has summarized the essence of management as “under developed countries are under managed, it denotes the multidimensional significance of management. Below are the few significances of Management.

Determination of Objectives:

The success of various operations of an organisation mainly depends on the identification of its objectives. Objectives are identified and laid down by the management. They should be the writing and communicated to all others in the management.



Meeting challenges:

All the policy decisions of an enterprise are taken by the management. It keeps in touch with the current environment and predicts what is going to happen in future. Through better planning and control, management steers a concern to meet the demands of the changing environment.

Provides innovation:

Management infuses an enterprise with new ideals, imaginations and vision.

Social Benefits:

Management raises the standard of living of the people by providing good quality products at the lowest prices. It also promotes peace and prosperity in the society through optimum use of scarce resources.

Employment:

The expansion and diversification activities of the managers in organizations create more employment to the society. This is very essential for our country.

Management Vs Administration

Sheldon opines, "Administration is concerned with determination of the corporate policy, the coordination of finance, production and distribution the settlement of the compass of the organisation and the ultimate control of executive ".

Administration is generally regarded as a top-level activity which is mainly concerned with providing broad goals and objectives. Management, on the other hand, is concerned with the accomplishment of those goals and policies.

On the other hand, management, is concerned with the execution of policy, within the limits set up by the administration and the employment of the organization for the particular object set before it.

Administratation	Management
Deals with formulation of objectives, policies for the organization.	It means getting the work done through and with others.
Relates to decision making. It is a thinking function.	Refers to the execution of decisions. It is a doing function.
Administration decides what is to be done and when it is to be done.	Management decides who shall implement the administrative decisions.
Administration refers to the higher levels in the organization.	Management is relevant at the lower levels in the organization.